Securities are of two types. One is transferable and another one is non-transferable. The term non-transferable is often seen in our day to day life. In bus tickets and train tickets we can see these words 'non - transferable'. It means that we cannot sell it to others. To put it in another way, we cannot change the ownership of these tickets. Likewise, in case of securities, if it is transferable we can change the ownership and in case of non-transferable securities the ownership cannot be changed.

Cumulative and Non-cumulative Shares

Cumulative shares are shares that are entitled to receive dividends of a particular year in the coming years as arrear if the company had not given dividend in that particular year. Non- cumulative shares don't have that right.

Convertible- Non Convertible Securities

Convertible means one kind of securities can be converted into another kind of securities. For example, the bonds can be converted as shares. In the case of Non-convertible securities, this is not possible.

Mutual Funds (MFs)

While merchant banker primarily helps issuer, the mutual funds help investors. The mutual funds mobilise the savings of the people and invest in securities. The individuals lack expertise in stock market and have very small amount to invest. So the mutual funds collect money from public and create a large pool of money and with their expertise they invest in securities. They invest in product called Units. Units are made up of more number of securities.

The shares of various companies are pooled together. For example 10 shares of 10companies (totally 100 shares) are pooled together. The value of share of each company may be different. Assume that the total value of 100 shares is ₹7000. This may be divided into units of ₹10